SFS-003 — Ijarah, Leasing, and the Risks of Ownership

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope

§1.1 This document governs *Ijarah*, the transfer of the usufruct of an asset for an agreed rental, and *Ijarah Muntahia Bittamleek*, a lease concluding in the transfer of ownership to the lessee.

§1.2 It applies to equipment leasing, vehicle financing, property leasing, and any arrangement in which the Bank grants the use of an asset in exchange for periodic payment.

§2 Definitions

§2.1 *Usufruct* means the right to use and benefit from an asset without owning it.

§2.2 *Major maintenance* means structural and capital upkeep on which the asset's continued usability depends, including replacement of major components and repairs arising from inherent defect or ordinary wear.

§2.3 *Operating maintenance* means routine upkeep arising from day-to-day use, including consumables, cleaning, and minor servicing.

§3 Essential conditions

§3.1 The leased asset must exist, be identified, and be capable of being used without being consumed. Assets consumed by use, such as money or fuel, cannot be leased.

§3.2 The use to which the asset is put must be lawful. Leasing premises or equipment for a prohibited activity is not permissible. See **[SFS-006 §3]**.

§3.3 The Bank as lessor must own the asset, or hold a valid right to sub-lease it, for the whole of the lease term.

§3.4 The rental amount and the lease period must be specified. Rentals may be fixed for the term or reviewed periodically against a disclosed benchmark, provided each revised rental is determinable and agreed at the point of revision.

§3.5 The lease may not commence before the Bank has acquired the asset and it is available for the lessee's use. Rental for a period in which the asset was not available is not earned.

§4 Allocation of risk and cost

§4.1 The Bank, as owner, bears the risk of total loss or destruction of the asset where the loss is not caused by the lessee's negligence or misuse.

§4.2 The Bank bears major maintenance. Transferring the entirety of this obligation to the lessee removes the ownership risk that distinguishes a lease from a loan, and is not permissible.

§4.3 The lessee bears operating maintenance arising from ordinary day-to-day use.

§4.4 Insurance of the asset is the Bank's responsibility as owner. Its cost may be reflected in the rental. Where takaful cover is available it must be preferred to conventional insurance. See **[SFS-004 §5]**.

§4.5 Rental ceases to accrue for any period in which the asset is genuinely unusable through no fault of the lessee. A contract requiring rental to continue throughout a total loss is not permissible.

§4.6 The Bank may require the lessee to indemnify it for loss caused by the lessee's negligence, misuse, or breach. It may not require an indemnity for loss arising from ownership as such.

§5 Lease ending in ownership transfer

§5.1 The lease contract and the transfer of ownership must be separate undertakings. Embedding an automatic, binding sale within the lease contract conflates two contracts in one and is not permissible.

§5.2 Transfer may be effected by gift, or by sale at a price agreed at the end of the term, documented independently of the lease.

§5.3 Until transfer occurs the Bank remains owner and retains the obligations at **[SFS-003 §4]**.

§5.4 A unilateral promise by the Bank to transfer ownership at the end of the term is permissible, provided it does not bind the lessee to purchase and is not a term of the lease itself.

§6 Assessment criteria

§6.1 A lease-labelled product is **non-compliant** where the lessee bears all maintenance, all insurance, and the entire risk of loss, since the Bank then holds title without ownership risk and the arrangement is a secured loan in substance.

§6.2 A product is **non-compliant** where rental continues to accrue after the asset has been destroyed or rendered permanently unusable.

§6.3 A product is **non-compliant** where the lease contract itself binds the lessee to purchase the asset at the end of the term.

§6.4 A product **requires review** where rentals float against a published benchmark, to confirm that each revision is agreed and determinable rather than accruing automatically with time. Compare **[SFS-002 §7.4]**.

§6.5 A product **requires review** where maintenance obligations are split in a manner that does not map cleanly onto the major and operating distinction at **[SFS-003 §2]**.

Sources and attribution

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- *AAOIFI Shari'ah Standards — principles concerning Ijarah and Ijarah Muntahia Bittamleek*
- *Bank Negara Malaysia, Shariah Standard on Ijarah*